

**BAKER
HUGHES**

Rpt Date 09/Jan/2007			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 09/Nov/2006			MD 2591.00 m		Progress 0.00 m		Present Activity Rig Repair								
Operator Peak Petroleum Indust. Limited			Company Rep Tom G.May / Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Steve Milne / Terry Nanidis								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
Drill Collars			Drill Pipe			20	18 3/4	291.60	1376.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
8	3 1/4	6.57	5	4.276	2348.34		12 1/4	2591.00	531								
8	2 5/8	9.35	5	3	158.56				Tot Active								
8	2 3/4	27.29							1907.1	Circulation Times							
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks	
									849	Bottoms Up		min/stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		Fluid Spec		1	2	3	AV Riser		ft/min	Standpipe Pressure		0 psi	Water Depth		146.00 m		
Sample From				Active Pit	Active Pit		AV Casing		ft/min	Hole Flow		USgal/min	Riser Booster Rate		USgal/min		
Check Time				09:30	23:15		AV Open Hole		ft/min	Solids Analysis							
MD m				2591.00	2591.00		Vc Open Hole		ft/min	Property		1	2	3	4		
TVD m				2449.98	2449.98		Vc Drill Pipe		ft/min	LGS %		5.50	5.52				
Bit Depth m				2588.00	2588.00		Min Ann Velocity			LGS lb/bbl		50.11	50.34				
Inc deg				1.46	1.46		AV Riser		ft/min	HGS %		4.32	4.34				
Density ppg				9.30	9.30		AV Casing		ft/min	HGS lb/bbl		63.54	63.86				
Funnel Visc. sec/quart				88.0	90.0		AV Open Hole		ft/min	Avg Dens Sol sg		3.3036	3.3038				
Test Temp degF				95.0	95.0		Bit Information										
Rheol Temp degF				120.0	120.0		Size		12 1/4 in								
PV cP				33	33		Hours On Bit										
YP lbf/100ft^2				21	19		Bit Number										
10sec Gel lbf/100ft^2				8	8		BHA Number		10	Rheology							
10min Gel lbf/100ft^2				15	14		Depth In		2385.00 m	600 RPM		87	85				
HTHP Filtrate cc				3.0	2.8		Bit RPM			300 RPM		54	52				
HTHP Cake in/32				2.0	2.0		WOB		klbf	200 RPM		41	40				
HTHP Temp degF				250.0	250.0		Nozzles		4x16:4x12	100 RPM		27	27				
HTHP Pressure psi				500	500		Bit Hydraulics			6 RPM		9	9				
Retort Water %				24.0	24.0		TFA		1.2272 in^2	3 RPM		7	7				
Retort Base Fluid %				64.0	64.0		Nozzle Vel		ft/sec								
Retort Solids %				12.0	12.0		Bit Press Loss		psi								
Corrected Solids %				9.8	9.9		HHP / Area		HP/in^2	Hydraulic Analysis							
Oil:Water Ratio				73:27	73:27		HHP		%	Behavior Index (n)							
Alk (Whole Mud-POM) cc/cc				1.90	2.00					Consistency Index (k)							
Cl (Whole Mud-Clom) cc/cc				53000	52000					ECD @ Bit Depth							
Ca (Whole Mud-Caom) cc/cc				0	0					ECD @ Casing Shoe							
Excess Lime lb/bbl				2.5	2.6		Fluid Comments/ Recommendations										
Brine Density sg				1.23	1.23		SURFACE ACTIVE VOL (9.3ppg) = (Act Pit #2 - 338 bbls + S/Traps - 150bb) = 488 bbls. RESERVE VOL(9.3 ppg) = (Pit #1 - 243bbls + pit #3 - 167bbls + pit 4 - 339bbls) = 749bbls. TOTAL USEABLE(9.3 ppg) = (Act Pit #2 - 338bbls + Res Pits 1,3, 4 - 749bbls) = 1087bbls. OTHER FLUIDS - Base Oil in Chemical pit										

ADVANTAGE Daily Drilling Fluids Report - 65

INTEQ

Rpt Date 09/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 09/Nov/2006		MD 2591.00 m		Progress 0.00 m		Present Activity Rig Repair
Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidisi	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	210, 2 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl			Losses bbl			Total Volumes bbl	
Mud Added	Weight Materials	9	Downhole	Left In Pit	Starting Volume	2770.1	Riser w/o Pipe
Brine	Water		Cased Off	Trip Losses	Daily Additions	9	Casing w/o Pipe
Base Fluid	Product		Left In Hole	Injected	Daily Losses	23	Open Hole w/o Pipe
Recycled	Other		Discharged	Spill To Environment	Ending Volume	2756.1	String Displacement
			SCE	Onshore Disposal	Net Change	-14.0	String Capacity
			Evaporation	Returned			Total Hole w/ Pipe
			Other Losses	23			Total Active
							Total Reserve

IADC Hours							
Rig Repair				24			
Primary Currency USD				Secondary Currency		Totals USD	
Daily Product Cost		3240.00		Daily Product Cost		0.00	
Daily Tax		0.00		Daily Tax		0.00	
Debit/Credit		0.00		Debit/Credit		0.00	
Daily Engineering Cost		900.00		Daily Engineering Cost		0.00	
Total Daily Cost		4140.00		Total Daily Cost		0.00	
Total Inventory Value		557911.39		Total Inventory Value		0.00	
				Deck Load		609342 lb	

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk											
MIL-BAR	1000 kg	109					6	103	131.33	120.46	
Oil Based Product											
CARBO-GEL	25 kg	283						283	5.73	7.01	
MIL-LIME	25 kg	269						269	5.76	3.42	
OMNI-COTE	55 USgal	10						10	0.29	0.16	
OMNI-MUL	55 USgal	23						23	5.63	4.25	
OMNI-PLEX	55 USgal	20						20	4.53	5.62	
OMNI-TEC	55 USgal	20						20	2.95	2.43	
PARA-TEQ	1 bbl	930						930			
SA 58	50 lb										
Water Based Product											
CAUSTIC SODA	25 kg	32						32			
MIL-GUAR	25 kg	50						50	0.29	0.12	
SOLUFLAKE	25 kg								0.10		
Xanthan Gum	25 kg	39						39	0.49	0.21	
XCIDE 102	55 USgal	1						1	0.01		
LCM											
CALCIUM CARBONATE - FINE	25 kg	212						212	7.46	3.40	
CALCIUM CARBONATE - MED	25 kg	505						505	8.05	2.03	
KWIKSEAL - MEDIUM	25 kg								0.08		
MIL-PLUG FINE	25 kg								0.07		
Other											
BLACK MAGIC SF T	25 kg	120						120			
CALCIUM CHLORIDE (97%)	25 kg	360						360	11.04	13.19	

BHDF Fluids Rep Waboso Peter / Kunle Olayinka	BHDF Rep Phone 234-803-402-0440	Warehouse Onne	Warehouse Phone 234-84-462609	Coordinator Lawson Ogaree	Daily Cost 4140.00 USD	Cumulative Cost 1750420.66 USD	Inventory Value 557911.39 USD	Page 2
---	---	--------------------------	---	-------------------------------------	----------------------------------	--	---	---------------

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.